More Uranium, Higher Costs: Kazatomprom in 2025-2026

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Summary. Kazatomprom, the world's largest uranium producer, mined 25,839 tonnes of uranium in 2025, 11% more than in 2024. Revenue still slipped 1%, to ₸1.80 trillion, because the average selling price fell 6% and a one-off sale of enriched uranium in 2024 did not repeat. In the first half of 2026 the price rose 16%, but a higher extraction tax, dearer sulphuric acid and a stronger tenge raised cash cost per pound by 37%, and profit attributable to shareholders fell 23%.

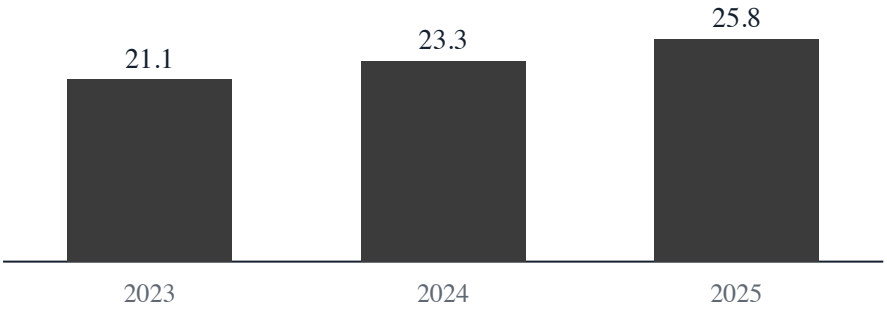
1. Data

All figures come from Kazatomprom's operating and financial reviews for 2023, 2024 and 2025 and for the first half of 2026 [1-4], and from its August 2025 results announcement [5]. Production is on a 100% basis. Sales volumes and the average realized price cover natural uranium (U3O8) only. Annual profit to shareholders is the company's adjusted measure, which removes a one-off gain of ₸296 billion in 2024.

2. Results for 2023-2025

Production rose from 21,112 tU in 2023 to 25,839 tU in 2025, an increase of 22%. The company estimates that its attributable output was 20% of the world's primary uranium supply in 2025 [1]. Revenue fell 1% in 2025, to ₸1,803 billion, although natural uranium sales grew 16%: in 2024 the company had also sold ₸252 billion of enriched uranium to Ulba-FA, and this did not repeat. Without that item, revenue would have grown by about 15%. Adjusted profit attributable to shareholders was ₸570 billion, against ₸577 billion in 2024.

Figure 1. Production, thousand tonnes of uranium (100% basis)



Sources: [1], [3].

Most uranium is sold under long-term contracts that follow the spot price with a delay. The realized price fell 6% in 2025, to $65.32 per pound, while the spot price fell 16%, to $72.75 [1].

3. Sales by region

Asia's share of Group sales rose from 45% in 2023 to 56% in 2025, and Europe's fell from 29% to 19% [1]. The company does not report China separately, but uranium for China is shipped by rail through Alashankou, and Ulba-FA, a joint venture with Chinese partners, supplied fuel assemblies containing slightly more than 200 tonnes of low-enriched uranium to Chinese nuclear plants in 2025 [1]. In the same year 48% of Western-bound shipments used the Trans-Caspian route rather than Russia [1].

Table 1. Kazatomprom key figures

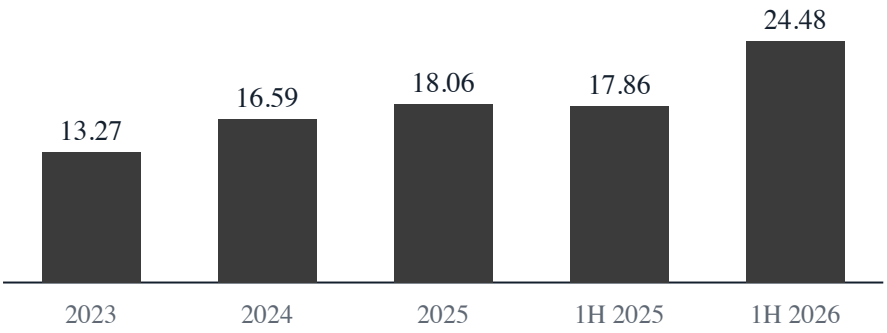
	2023	2024	2025	1H 2025	1H 2026
Production, tU	21,112	23,270	25,839	12,242	13,291
Realized price, $/lb	55.09	69.48	65.32	58.54	67.88
Spot price, $/lb	60.53	86.28	72.75	69.11	85.98
C1 cash cost, $/lb	13.27	16.59	18.06	17.86	24.48
Revenue, ₸ billion	1,435	1,813	1,803	660	718
Profit to shareholders, ₸ billion	n/a	577	570	202	157
Asia, % of Group sales	45%	50%	56%		

Annual profit to shareholders is adjusted for one-off items. Sources: [1]-[4].

4. The first half of 2026

Revenue rose 9%, to ₸718 billion, as the realized price climbed 16% to $67.88 [2]. C1 cash cost rose faster, by 37% to $24.48 per pound, so of the $9.34 gain in price $6.62 was absorbed by costs. The company gives three causes [2]: the mineral extraction tax, which since January 2026 depends on output and price, rose from a flat 9% to an average of 12.4% and doubled in money terms to ₸120 billion; sulphuric acid cost 39% more per tonne because of local shortages; and the tenge strengthened against the dollar. The company's own acid plant has been delayed to between the third quarter of 2027 and the first quarter of 2028 after possible paleontological finds on the site.

Figure 2. C1 cash cost, $ per pound of U3O8 (attributable basis)



Sources: [1]-[3].

Net profit fell 9%, to ₸240 billion, mainly because of exchange-rate losses and higher finance costs, and profit attributable to shareholders fell 23%, to ₸157 billion, as a larger part went to minority owners of the mines [2]. The company lowered its 2026 revenue guidance to ₸2,100-2,200 billion and raised its C1 guidance to $25.50-27.00 per pound, while keeping production guidance at 27,500-29,000 tU [2]. In August 2025 it had already lowered its nominal 2026 production level by about 10%, to 29,697 tU [5].

5. Valuation

Kazatomprom's shares closed at ₸28,350 on the Kazakhstan Stock Exchange on 30 October 2026, a market value of about ₸7.4 trillion ($16.2 billion): 12.9 times adjusted 2025 profit to shareholders. The ₸335 billion dividend for 2025, about ₸1,292 per share, gives a yield of 4.6%.

6. Risks

Profit depends on the uranium price. The new extraction tax rises with output and price, so it takes a larger share in a strong market. Acid shortages could limit production until the new plant starts, and a stronger tenge lowers revenue in tenge while raising costs in dollars. This note is not investment advice.

Author's view

I am not an expert in mining, so my view here is a simple one. I think Kazatomprom is right not to produce as much as its licences allow. Uranium is a resource that will run out one day, and there is little sense in selling more of it when the cost of every pound is rising. The higher tax also looks fair to me: the uranium belongs to the country, and when prices are high the budget should get a bigger share. What worries me is the same thing I saw in Kazakhstan's trade with China. More and more of the uranium goes to Asia as a raw material, while most of the steps that add value, such as enrichment, happen abroad. Ulba-FA, which makes nuclear fuel in Ust-Kamenogorsk, is a good example of what Kazakhstan could do more of. The next thing I will watch is whether the cost per pound stops rising once the acid shortage eases.

References

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Figures are taken from the sources listed.